
Who Needs Whom? Apple and the Chinese State

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In May 2016 Beijing summoned Tim Cook to Zhongnanhai. He brought a \$275 billion pledge.

YOUR IB VOICE

WEIGH THE LEVERAGE

Apple's suppliers employed more than a million Chinese workers, yet Beijing could hurt Apple almost whenever it chose. In 2016, who needed whom more: Apple or the Chinese state?

10 minutes • Individual • Notes permitted

Who needed whom more in 2016?

Apple needed China more, because its whole supply chain was there.

China needed Apple more, because Apple's suppliers employed and trained millions.

Beijing held the leverage, because it wrote the rules and chose when to enforce them.

Apple held the leverage, because it could move production to another country.

What evidence in the chapters would tell these claims apart?

What could Beijing do to Apple?

Doug Guthrie saw that China wanted something



INMA/Jarle Naustvik, *Doug Guthrie, Building the Creative Organization, Gulltaggen 2010*, 2010 · Wikimedia Commons, CC BY 2.0.

Until 2013 suppliers such as Foxconn dealt with provincial officials, and no Apple executive lived in China.

Guthrie, a Mandarin-speaking scholar of China's local institutions, joined Apple in 2013 and asked to be sent to Shanghai.

He read Beijing's pressure as a demand Apple had not met.

郑州航空港经济综合实验区
Zhengzhou Airport Economic Zone

“You’re *supposed* to be out of compliance.”

A labor law Apple's suppliers could not obey

Nearly half of 362 supplier factories broke the 10 percent cap, and 80 used temporary workers for over half their staff.

The law was national but enforced locally, so each city chose which factory to punish.

WORKERS IN THE SUPPLY CHAIN

Spring, slow months



below 900,000

Peak, before iPhone launch



more than 1.7 million

Peak allowed under a 10% cap



at most about 1.0 million

McGee, *Apple in China* (2025), p. 261, citing internal Apple documents; third bar is the instructor's arithmetic.

A rule that almost everyone breaks lets the state press one factory at a time.

Apple scored lowest of all large multinationals

22.5

out of 100 was Apple's score in the state's first corporate responsibility ranking, in 2015

Apple was the only foreign firm on the list not labeled a joint venture. Samsung, with Chinese partners, scored best.

The score measured what Apple shared with Chinese firms, not its environmental record.

Beijing sent a tax bill, a low score, a labor law, and fines on Apple's engineers. Was any one of these a serious threat?

If none was, why did Cupertino read them together as a warning?

Qualcomm could not walk away from China

Qualcomm earns a fee on every smartphone using its technology, and over half its revenue came from China.

In 2015 it paid a \$975 million fine and agreed to a joint venture.

SHARE OF REVENUE FROM CHINA, FISCAL 2015

Qualcomm, customers in China and Hong Kong



Apple, sales in Greater China

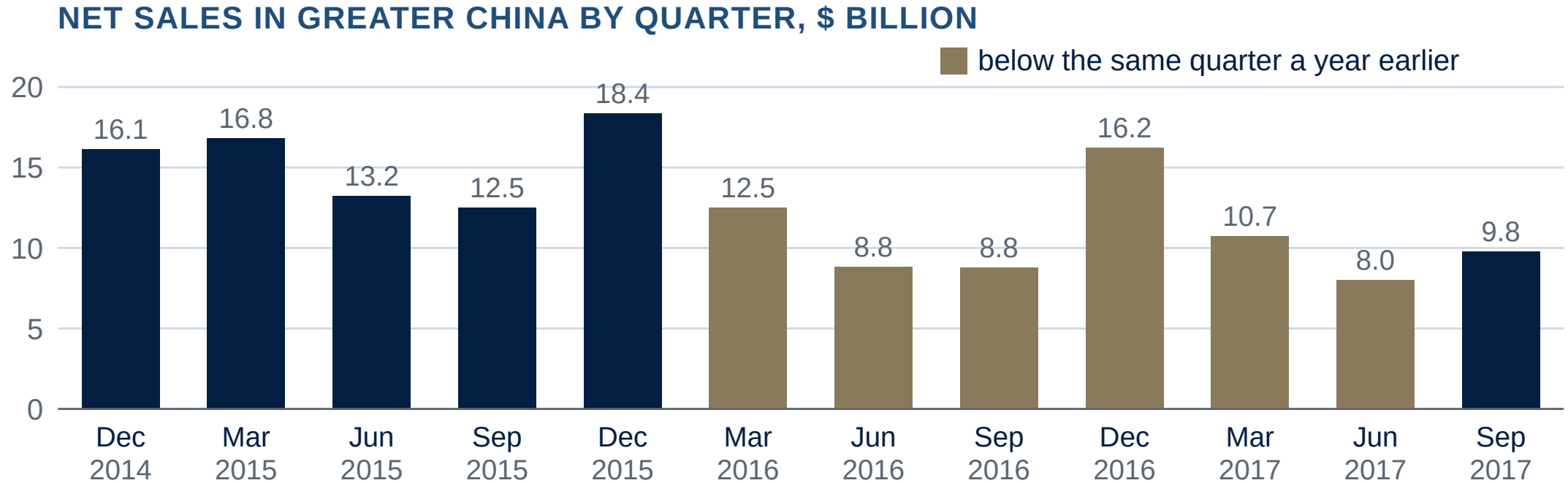


QUALCOMM Inc. and Apple Inc., [Forms 10-K, fiscal 2015](#), revenue by customer location and by segment.

| In a firm-government bargain, each side's leverage is what it could withhold that the other could not replace.

What did Apple have that Beijing wanted?

Apple went to Beijing needing China badly

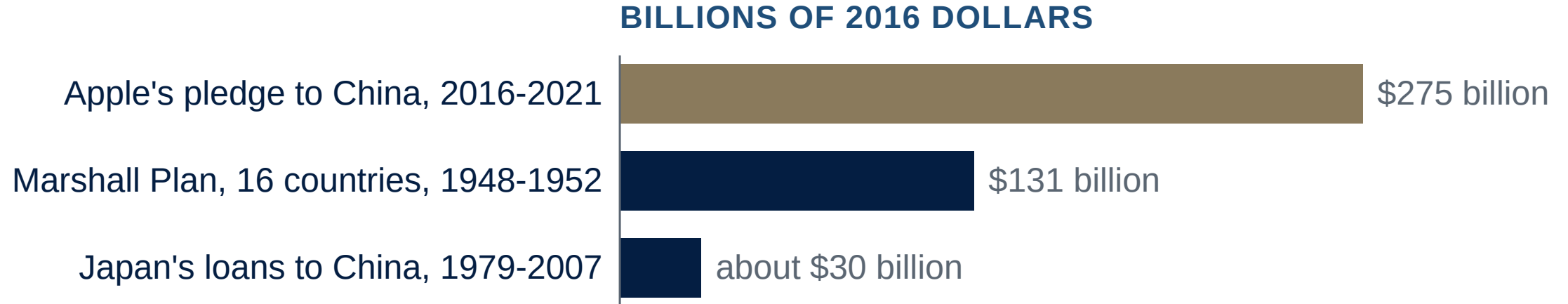


Apple Inc., [Forms 10-Q and 10-K, fiscal 2015 to 2017](#), net sales by reportable segment.

Sales fell for six straight quarters from early 2016, and in April regulators shut Apple's new iTunes and iBooks stores.

■ The weaker Apple's position in the market, the more it needed something the state valued.

Apple's pledge was twice the Marshall Plan



McGee, *Apple in China* (2025), p. 281; comparisons in 2016 dollars as McGee gives them.

The \$275 billion was Apple's estimate of \$55 billion spent in China in 2015, multiplied by five years, so it promised nothing new.

What changed in 2016 was not Apple's investment but what Beijing was told about it.

Apple's real offer was know-how, not money

4,000

engineers worked in Apple's China operations team within a few years of 2013, up from 1,000

Apple trained suppliers, brought them machines from Europe and Japan, and bought all they made.

No government program could do that, and the skills stayed with the suppliers.

If Apple's know-how was so valuable to China, why did Apple have to tell Beijing about it?

What does the answer suggest about secrecy as a bargaining strategy?

China's exports once relied on foreign firms



Ministry of Commerce of the People's Republic of China, [Statistical Bulletin of FDI in China 2023](#), Appendix 13.

From 2001 to 2011 foreign-invested firms made more than half of what China sold abroad, so Beijing's growth depended on them.

Two sides are mutually dependent when each would lose from a break, and the side that would lose less holds more leverage.

Once China has learned, who needs whom?



In 2018 Shanghai let Tesla build a car plant with no Chinese partner, a first for a foreign carmaker.

Joint ventures did not teach China to build cars



ChengH, *1983 Shanghai-Volkswagen Santana*, 2015 · Wikimedia Commons, CC BY-SA 4.0.

From 1984 foreign carmakers entered China through joint ventures meant to teach Chinese partners to build and export.

By 2016 Germans held over 70 percent of the premium market, and no Chinese brand competed abroad.

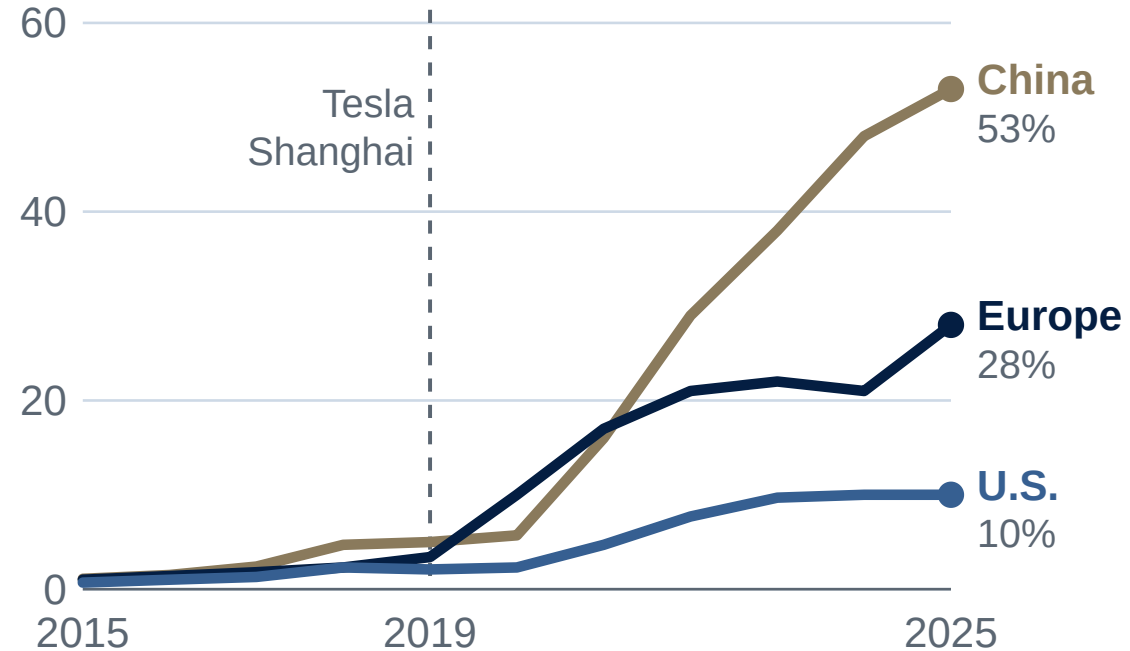
A share of the profits did not give Chinese partners the know-how.

Tesla's suppliers learned to build for BYD

Tesla trained local suppliers that also serve Chinese carmakers such as BYD, which McGee calls the Apple model.

Half of China's new cars are now electric, twice Europe's share.

ELECTRIC SHARE OF NEW CAR SALES, %



International Energy Agency, [Global EV Data Explorer](#), EV sales share of new cars.

Leverage shifts toward the state as local firms learn what the foreign firm once brought.

Who needs whom in your industry?

Decide who needs whom in your industry

1. **Select** one firm in your team's network and one government whose decisions it depends on.
2. **Diagnose** what each side could withhold from the other, and which of those the other could replace.
3. **Recommend** one thing the firm could show that government about its contribution, in terms the government values.
4. **Defend** your answer to who needs whom more, and name what would change it.

15 minutes · Industry teams · Diagrams permitted

Where did your team find that the government needs the firm more than the firm needs it?

What would make that leverage run out?

Who needed whom?

Apple needed China's flexible workforce, and Beijing could threaten it with rules it chose when to enforce.

China needed Apple's know-how, but Beijing valued it only once Apple described it in Beijing's terms.

The \$275 billion pledge promised no new money, but it told Beijing what it was already getting.

As Chinese firms learn, China needs any one foreign firm less.

Next Monday asks who holds the leverage once a firm's money is in the ground.